Summary

Petition filed by TPL before Hon'ble GERC vide Case No. 2429/2024

Torrent Power Limited-Dholera Supply Area (TPL-D(DSIR))

Background:

1.1. As per the provisions of the MYT Regulations, 2016 read with MYT Regulations 2024, TPL-D(DSIR) has filed the petition before the Hon'ble Commission for approval of:

a) Truing up of ARR for FY 2023-24 and sharing of gains/losses on account of controllable/un-controllable factors,

b) Determination of ARR for MYT Control period FY 2025-26 to FY 2029-30,

c) Determination of Gap/(Surplus) for FY 2025-26, and

d) Determination of tariff for FY 2025-26

True Up for FY 2023-24

1.2. The Hon'ble Commission has been pleased to approve the business plan for FY 2023-24 and also permitted to levy the tariff of Dahej SEZ area, as amended from time to time, to the consumers of DSIR during FY 2023-24. TPL-D(DSIR) has commenced operation from Q3 of FY 23-24.

1.3. TPL-DSIR has submitted the details in petition based on the actuals of FY 2023-24 for the purpose of truing up of FY 2023-24 in accordance with the GERC MYT Regulations,2016

1.4. Owing to nascent stage of operation, TPL-D(DSIR) has considered all parameters of ARR as uncontrollable.

1.5. The energy requirement is based on the actual sales and the actual T&D losses for FY 2023-24. The sales for Dholera Supply Area was 1.61 MU and the distribution loss is 0.68 Mus due to lower loading of network due to nascent stage of operations

1.6. The trued up ARR has been arrived at by considering the actual expenses. The variation in power purchase cost on account of price, quantity, and mix is uncontrollable and passed on in the ARR. Similarly, considering the nascent stage of operations, the variation in expenses to the extent of variation in distribution loss & O&M expenses is uncontrollable for the sharing of gains/losses as per the MYT Regulations, 2016.

1.7. The other fixed cost items of Dholera Supply Area, such as, Interest expense, Depreciation, Bad Debts, Return on Equity, Income Tax and Non-Tariff Income is trued-up based on the classification of un-controllable factors for each item head as applicable . Accordingly, the sharing of gains/losses has been arrived at and the trued-up ARR is worked out. Revenue is considered based on approval of Hon'ble GERC to change tariff as the approved tariff schedule of Dahej including FPPPA. The trued-up ARR thus worked out is shown in the table below.

Table 1: Revenue Gap/(Surplus) of Dholera Supply Area for FY 2023-24

All figures in Rs. Crore	Actual
ARR	19.97
Less: Revenue from Sale of Energy	1.86
Gap/(Surplus) for FY 2023-24	18.11

1.8. The total revenue gap along with carrying cost for 2 years is as follows.

Table 2: Total Revenue Gap/ (Surplus) for Dholera Supply Area for FY 2023-24

All figures in Rs. Crore	Actual
Gap/(Surplus) for FY 2023-24	18.11
Carrying Cost	3.10
Total Gap for FY 2023-24	21.21

1.9. TPL-Dholera area requests the Hon'ble Commission to kindly approve the revenue gap as mentioned above and allow the recovery of the same with carrying cost.

ARR for MYT Control Period

1.10. TPL-D(DSIR) has submitted the petition for approval of the Aggregate Revenue Requirement for MYT Control Period from FY 2025-26 to FY 2029-30 and determination of tariff for FY 2025-26 for TPL-DSIR as per the provisions of the MYT Regulations, 2024.

1.11. The ARR estimation is based on the assumptions as outlined hereunder:

a) Sales Forecast: The energy sales for MYT Control Period have been estimated considering the available information of consumer type, load and usage pattern as per the estimated development plan.

b) Distribution losses & O&M Expenses: The distribution loss and O&M expenses have been considered as per the prevailing methodology in the Tariff Policy read with MYT Regulations 2024 & applicable orders of the Hon'ble Commission

c) Power Purchase Cost: For MYT, TPL-Dholera proposes to procure power through Bilateral Sources/Power exchange and tied-up/ proposed Renewable capacities

d) Capital Expenditure Plan: The TPL-Dholera has planned to undertake prudent capital investments for development of state-of-the-art ready-to-serve distribution network so as to cater to the demand of its consumers and provide reliable & quality power. The major capital expenditure of Dholera Supply Area includes includes EHV expenditure schemes, HT expenditure schemes, LT network expenditure schemes, meter management, etc.

1.12. The ARR thus computed for Dholera Supply Area for MYT Control Period is shown in the table below.

Table 3: ARR of Dholera Supply Area for MYT Control Period

All Figures in Rs. Crore	FY 2025-26	FY 2026-27	FY 2027-28	FY 2028-29	FY 2029-30
Power Purchase	97.45	174.09	216.78	292.27	364.27
O&M expenses	6.17	6.69	7.22	7.81	8.46
Depreciation	8.16	8.57	9.00	9.57	10.37
Interest on loans	10.05	9.77	9.49	9.34	9.39
Interest on working capital	0.45	0.44	0.18	0.14	-
Interest on SD	0.63	1.09	1.52	2.01	2.55
Bad debts	-	-	-	-	-
Contingency reserve	0.94	1.05	1.16	1.29	1.43
RoE incl. income tax	10.24	10.66	11.10	11.70	12.52
Less: Non-tariff income	0.02	0.02	0.02	0.02	0.02
ARR	**134.06**	**212.33**	**256.44**	**334.09**	**408.97**

1.13. TPL-D(DSIR) would like to further submit that as per the GERC (Demand Side Management) Regulations, 2012, it is required to formulate and submit to the Hon'ble Commission a DSM Plan covering the control period. In turn, the TPL-D(DSIR) will make necessary submission for the DSM plan for FY 2025-26 onwards and the TPL-D(DSIR) shall claim the actual DSM expenses as part of its truing up petitions.

Gap/ (Surplus) Analysis for FY 2025-26

1.14. The revenue from sale of power has been computed considering the sales & existing tariff rates for different category of consumers which are detailed out in the respective formats including the revised base FPPPA.

1.15. TPL-D(DSIR) has considered power purchase for FY 25-26 on pooled base. For FY 2024-25, the Hon'ble Commission has approved the base power purchase cost at Rs. 4.89 per kWh and base FPPPA at Rs. 1.37 per kWh for Dahej SEZ. For FY 2025-26, the estimated weighted average power purchase cost works out to be Rs. 6.27 per kWh as against the base power purchase cost of Rs. 4.89 per kWh. Thus, revised base FPPPA works out to Rs. 2.83 per kWh for Dahej SEZ factoring the adjustment to PPC. The revenue for FY 2025-26 is estimated by considering the revised base FPPPA as estimated of Rs. 2.83 per kWh for Dahej SEZ & Dholera Supply Area.

Table 4: Revenue Gap/ (Surplus) of Dholera Supply for FY 2025-26

All figures in Rs. Crore	
ARR	134.06
Less:	
Revenue from sale of power at existing tariff rates including revised base FPPPA	111.84
Gap/ (Surplus)	**22.22**

1.16. TPL-Dholera submits to the Hon'ble Commission to consider the revised base FPPPA and gap/ (surplus) as proposed by it.

1.17. TPL-D(DSIR) has also calculated carrying cost as per the settled principle.

1.18. The summary of cumulative revenue gap/ (surplus) for determination of tariff FY 2025-26 is shown in the following table.

Table 5: Cumulative Revenue Gap/ (Surplus) for determination of tariff of Dholera Supply Area for FY 2025-26

All figures in Rs. Crore	
Gap/ (Surplus) of FY 2023-24	18.12
Carrying Cost	3.10
Gap/ (Surplus) of FY 2025-26	22.22
Cumulative Gap/ (Surplus)	**43.43**

1.19. TPL-Dholera proposes to recover the cumulative gap by way of implementation of the proposed revised tariff from 1st April 2025.

1.20. For FY 2025-26, TPL-Dholera has proposed to continue "Green Tariff" of Rs.1.00 per unit.

1.21. TPL-D proposes to recover the cumulative gap/(surplus) by way of implementation of the proposed revised tariff of Dahej SEZ from 1st April 2025. The balance gap shall be addressed at the time of truing up of FY 2025-26.